Capital Stress Model

Capital Structure Diagnostic Report

Prepared for: Client Simulation

Generated by: Capital Bridge

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CAPITAL BRIDGE ADVISORY JOURNEY

How to read this report

Step 3 — What happens under stress?

We look at your money in three simple steps: (1) Can it last at the lifestyle you want? (2) Is your overall setup strong and balanced? (3) If markets fall or life changes, how might you cope? This report uses the Capital Stress Model. It stress-tests your plan with many simulated market paths. Read it after Steps 1 and 2 so the conclusions sit in context. If you have not already, run Step 1 (Forever or Income Engineering) and Step 2 (Capital Health) on the platform for the full picture.

Executive Summary

CAPITAL HEALTH STATUS	LION SCORE (0–100)	DEPLETION PRESSURE	TYPICAL OUTCOME
Strong	**100** STABLE	**Stable**	**RM 1,145,826**

Overall Assessment

The capital structure appears strong or stable under the current assumptions and is well positioned for the selected horizon.

Primary Risk Drivers

Key risk drivers are within a manageable range.

Suggested Focus Areas

Consider periodic reviews to keep assumptions aligned with goals.

Model Snapshot

Transparency on how the simulation was produced. Results are derived from a structured Monte Carlo model.

Simulation Engine: Monte Carlo

Simulation Paths: 3,650 scenarios tested

Initial Capital: RM 1,000,000

Yearly Withdrawal: RM 50,000

Time Horizon: 10 years

Return Range Assumption: -2.0% to 7.0%

Inflation Assumption: 1.5% p.a.

SCENARIO SUMMARY

Structure Health Strong	**Time Horizon** 10 years	**Typical Outcome** RM 1,145,826
Initial Capital RM 1,000,000	**Depletion Pressure** Stable	**Withdrawal** RM 50,000

CAPITAL DIAGNOSIS

This system evaluates your capital structure using your Lion score (0–100), depletion pressure from withdrawals, and sensitivity charts below. The Lion score is the single headline measure for this report.

Think of your capital structure like a car: **Lion score** is overall structural strength; **Depletion pressure** is how quickly the fuel is being consumed; the map and radar show where assumptions are most sensitive.

CAPITAL STRUCTURE HEALTH

Lion Score (0–100)

100 — STABLE

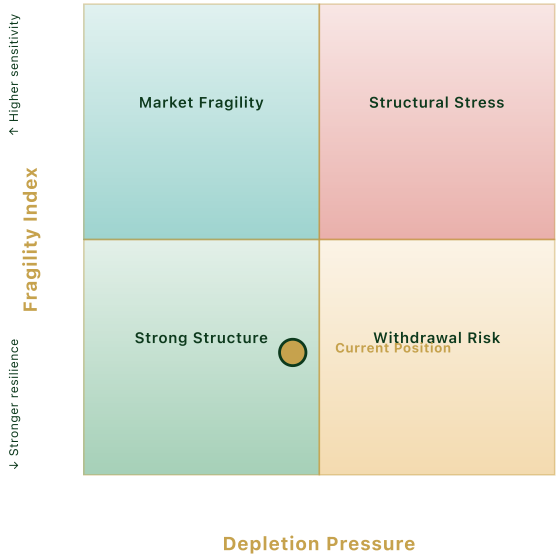
Single headline score for this model, aligned with Lion's Verdict below.

Depletion Pressure

Stable (-14.1%)

STRUCTURAL STABILITY MAP

Horizontal axis: Depletion Pressure (left = lower withdrawal pressure, right = heavier withdrawal pressure). Vertical axis: Fragility Index (lower = stronger structural resilience, upper = higher market sensitivity).



Current Position: Strong Structure Zone

Fragility Index: 26 · Depletion Pressure: Stable

SIMULATED AVERAGE OUTCOME

RM 1,145,826

After inflation (1.5% p.a.): RM 987,320

POSSIBLE CAPITAL OUTCOMES

Typical (median): RM 1,160,363

Conservative (5th %): RM 965,001

Middle 50% range: RM 1,101,432 – RM 1,218,705

Upside (95th %): RM 1,260,716

CAPITAL DURABILITY CURVE

Shows how capital may evolve over time under market conditions and withdrawals. Median trajectory with 25th–75th percentile band (and optional 5th–95th band) illustrates how outcomes diverge over the horizon.

Year 0 — Year 10. Shaded band: 25th–75th percentile; outer band: 5th–95th percentile.

Capital Survival Probability

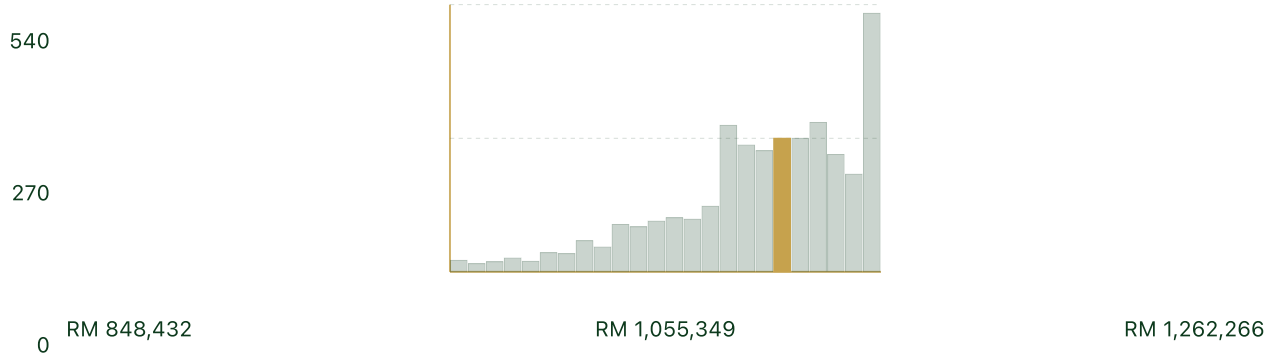
100% of simulated scenarios maintain positive capital through the 10-year horizon. The Resilience Score combines this survival probability with structural stability (how often capital stays above 50% of initial) so the score reflects both survival and durability.

CAPITAL OUTCOME PROBABILITY DISTRIBUTION

Histogram of **ending capital** after 10 years across 3,650 simulated paths. Each bar is one capital range; height shows how many scenarios finished in that range. The **gold** bar marks the bucket that contains the **median (typical)** outcome.

Y-axis: scenario count per bucket

Vertical scale counts paths ending in each capital band. Compare bar heights to see which ending balances are most common versus rare.



X-axis: ending capital (24 bins from lowest to highest simulated ending balance after the horizon).

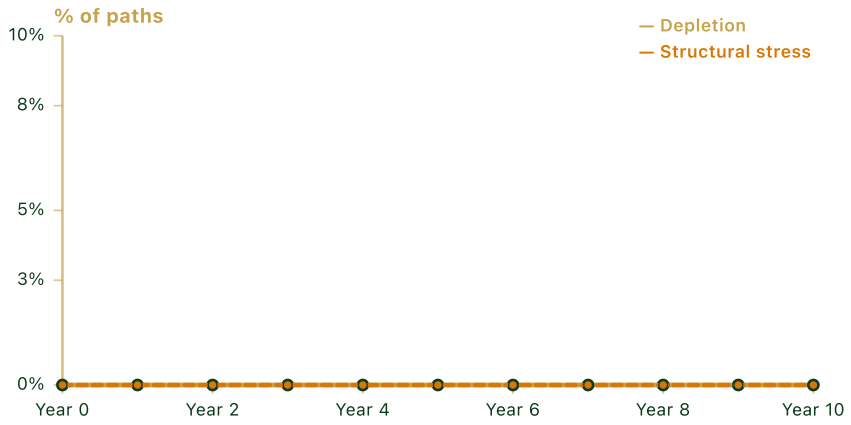
Typical outcome (median)

RM 1,160,363 — the gold bar is the bin containing this median ending capital. Compare it to the rest of the shape: if the tallest bars sit to the left of the gold bar, many scenarios finish below the median; if the mass sits to the right, more paths end with higher capital than the median.

How to read this: A single sharp peak means outcomes cluster around one ending level; a wide spread means uncertainty in where capital lands. Compare the left tail (low bars on the left) to your risk tolerance — heavy mass near zero indicates meaningful depletion risk in the simulation. This view complements the percentile table above (5th / 25th / 50th / 75th / 95th).

CAPITAL STRESS TIMELINE

Two metrics by year: probability of full capital depletion (balance ≤ 0) and probability of structural capital stress (capital below 50% of initial). Shows when stress begins to emerge over the horizon.



Gold line: probability of full capital depletion (balance ≤ 0). Amber dashed line: probability of structural capital stress (capital below 50% of initial). Early stability: low percentages; rising stress: increasing % over time.

While full capital depletion may remain unlikely under current assumptions, the probability of structural capital stress can gradually increase later in the investment horizon.

Capital Breakpoint Indicator

Under current assumptions, structural stress remains below the critical threshold through the 10-year horizon.

The Capital Breakpoint indicates the approximate year when structural stress would begin to emerge across simulated scenarios. In this scenario, depletion probability stays under the threshold for the full period.

PROJECTED CAPITAL VS STARTING CAPITAL

Simulated average ending capital vs initial: 114.6%

SIMULATED CAPITAL JOURNEY

Typical market path (median outcomes). Rows stop when capital reaches zero.

Year	Est. Return %	Account Balance
0 Yr	—	RM 1,000,000
1 Yr	6.89%	RM 1,018,856
2 Yr	6.88%	RM 1,038,937
3 Yr	5.91%	RM 1,050,343
4 Yr	6.89%	RM 1,072,763
5 Yr	5.82%	RM 1,085,199
6 Yr	5.78%	RM 1,097,971
7 Yr	5.84%	RM 1,112,051
8 Yr	5.84%	RM 1,127,029
9 Yr	5.84%	RM 1,142,823
10 Yr	5.91%	RM 1,160,403

BIGGEST IMPACT IMPROVEMENTS

1. Reduce withdrawals by 10%
2. Extend investment horizon by 5 years
3. Improve portfolio returns by 1%

CAPITAL ADJUSTMENT SIMULATOR

Reduce withdrawals by 10%

Lion score: 100 · STABLE · Depletion: Stable

Extend investment horizon by 5 years

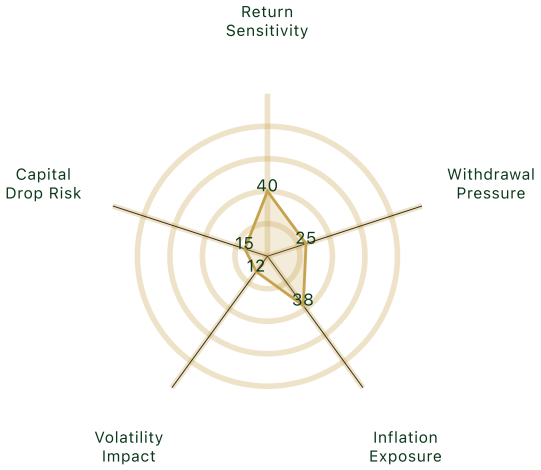
Lion score: 100 · STABLE · Depletion: Stable

Improve portfolio returns by 1%

Lion score: 100 · STABLE · Depletion: Stable

CAPITAL STRESS RADAR

Sensitivity to key risk drivers. Higher scores indicate greater vulnerability.



FURTHER STRUCTURAL STRESS TEST

How the capital structure responds when key assumptions deteriorate.

Stress Driver	If Stress Level	Depletion Pressure	Ending Capital
Market Returns	Return decreases by 1%	-8.1%	RM 1,009,048
	Return decreases by 2%	-1.2%	RM 882,676
Withdrawals	Withdrawal increases by 10%	-10.3%	RM 1,083,931
	Withdrawal increases by 20%	-5.5%	RM 1,004,994
Inflation	Inflation increases to 3%	+5.8%	RM 773,837
	Inflation increases to 5%	+17.5%	RM 593,379

KEY TAKEAWAYS

- Withdrawal pressure increases fragility over longer horizons.
- Median outcomes suggest capital preservation or growth under the assumed return range.
- The 10-year horizon and return assumptions drive the dispersion of outcomes.

RECOMMENDED ADJUSTMENTS

- Maintain a capital buffer for unexpected stress.
- Revisit assumptions if circumstances change.
- Optimise allocation for long-term resilience within your risk tolerance.

THE LION'S VERDICT

"The Lion Reigns. The Structure Is Fortified And Resilient."

Your Lion score is 100 / 100 (STABLE). It shows how much strain your capital may face over the 10-year horizon you chose.

The simulated average outcome is RM 1,145,826, with a worst-case floor of RM 965,001.

Risks look manageable within the horizon you assumed.

The structure appears well positioned. Maintain a buffer for unexpected stress and revisit assumptions if circumstances change.

Lion score: 100 / 100 · STABLE

STRATEGIC OPTIONS

- Re-test assumptions with a lower expected return and higher inflation to stress the plan.
- Model a phased reduction in withdrawals or lifestyle spend over 12–24 months.
- Evaluate whether additional capital or deferred draws improves runway without changing risk tolerance.

CAPITAL UNLOCK

- Capital unlock (refinance, line of credit, or asset-backed liquidity) should follow a sustainable income proof, not replace it.
- Any unlock should leave post-debt service coverage consistent with your stress-tested plan.

SCENARIO ACTIONS

- Run the model again after changing only one variable (return, inflation, or withdrawal).

PRIORITY ACTIONS

- Maintain a capital buffer for unexpected stress.
- Revisit assumptions if circumstances change.
- Optimise allocation for long-term resilience within your risk tolerance.

If you do nothing: If you do nothing, a well-tested structure can remain sound—but assumptions drift, taxes change, and health and markets move. Calendar an annual check even when the score looks strong.

✓ Capital structure absorbs moderate volatility

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